

They are used out of context, with misleading framing, cherry-picked data, and emotional claims that can lead investors to make bad decisions. I will address all of these.

Joan Robinson was a trailblazing economist who taught at Cambridge from 1931 to 1971—she was one of the few women who did so in that era.¹²⁰ She shared this piece of wisdom about the discipline: “The purpose of studying economics is not to acquire a set of ready-made answers to economic questions, but to learn how to avoid being deceived by economists.” Her insight was not just about economics, but markets, too.

This entire “Bad Numbers” discussion will give you the tools to identify when bad actors are trying to impact your behavior in ways that are detrimental to your wealth. Sometimes they are selling you crappy products, other times they are affecting your emotions. I want you to understand enough about how math gets abused to get your Spidey-sense tingling whenever someone uses it to mislead you.

The concepts we discuss are easy to grasp. They will help you not get misled by those who do not have your best interests at heart.



Like everything else in life, numbers need context. Let’s take a look at what happens when we forget that...